

Employing in Portugal

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Código do Trabalho (Labour Code)
- **Monthly payroll** — salary payments in EUR, itemised recibos de vencimento, 13th and 14th month subsidies
- **Tax withholding** — IRS withheld monthly and remitted to the Autoridade Tributária
- **Segurança Social** — the Taxa Social Única (TSU) employer/employee contribution stack
- **Leave and termination management** — notice periods, entitlements and severance guidance

Employment Conditions

Contracts & Probation

The Código do Trabalho governs almost all aspects of Portuguese employment, enforced by the labour authority (ACT) and the courts. Portuguese employees are paid over 14 monthly instalments per year rather than 12.

Item	Detail	Legal Basis
14-month salary structure	12 regular salaries + 13th (holiday subsidy, paid before summer leave) + 14th (Christmas subsidy, by 15 December)	Código do Trabalho
Probation period	Commonly 90 days (permanent contracts); up to 180 days for complex/managerial roles	Código do Trabalho
Mandatory training	40 hours of certified training per employee per year; unused hours accrue as a payable credit after 3 years	Código do Trabalho

Working Hours & Overtime

Rule	Detail	Authority
Standard hours	8 hrs/day, 40 hrs/week	Código do Trabalho
Overtime premium	125% (first hour), 137.5% (subsequent hours), higher on rest days/holidays	Código do Trabalho

Minimum Wage & Social Security (2026)

Measure	Rate	Notes
Minimum wage (mainland)	€920/month gross (14 payments) = €12,880/year	+€50/month from 1 January 2026; government roadmap targets €1,020 by 2028
Employer Social Security (TSU)	23.75% of gross salary	No upper ceiling — scales indefinitely unlike Germany or Poland
Employee Social Security	11% of gross salary	Deducted before IRS
Workplace accident insurance	~1% of payroll	Mandatory from day 1 for every employee

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	22 working days/year	Employer	Plus the 13th month "holiday subsidy" (subsídio de férias), equal to one month's base salary
Christmas Subsidy	1 month's base salary, paid by 15 December	Employer	14th month payment; statutory entitlement
Maternity/Parental Leave (Licença Parental)	120–150 days, shared between parents	Social Security (Segurança Social)	100% pay for 120 days, or 80% for 150 days
Meal Allowance	Commonly ~€6/day (cash) or ~€10.20/day (card) — market practice, tax/TSU-exempt up to these thresholds	Employer	Not statutory, but near-universal in professional roles

★ HERO TIP

Portugal's 14-payment structure means the true annual cost of any Portuguese salary is roughly 16.7% higher than the monthly figure implies — always quote and budget Portuguese compensation on an annual basis (gross × 14, plus TSU) rather than simply multiplying the monthly rate by 12. Meal allowances paid via card up to €10.20/day are exempt from both TSU and income tax, and are commonly used to structure compensation efficiently.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Employer TSU (23.75%)	\$712.50	23.75%

Workplace accident insurance (~1%)	\$30.00	1.00%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$4,342.50	~144.8%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. This excludes the pro-rated cost of the 13th and 14th month payments, which add a further ~16.7% in annualised cost — Portugal's TSU also has no upper ceiling, unlike Germany or Poland, so it does not shrink at higher salaries. Employee deductions (withheld separately) include the 11% Social Security share and progressive IRS.

Income Tax (IRS, 2026)

Portugal applies nine progressive IRS brackets, plus an additional solidarity surcharge for very high earners.

Annual Taxable Income (EUR, approx.)	Marginal Rate
Up to €7,703	13.25%
Middle brackets	Progressive, rising through 9 total brackets
Above €81,199	48%

An additional solidarity rate of 2.5% or 5% applies to very high incomes on top of the 48% top marginal rate. Minimum-wage earners pay no IRS at all in 2026, since €12,880 (the full 14-payment annual minimum) sits exactly at the mínimo de existência subsistence exemption threshold.

Termination & Separation

Severance

Contract Type	Severance Formula	Cap
Permanent contract	12 days' salary per year of service	Capped at 12 months' salary
Fixed-term contract	18 days' salary per year of service (pro-rated)	Capped at 12 months' salary

Severance formulas and thresholds have changed periodically in recent years — always verify the current basis with your HeroForce EOR before finalising a termination, since the calculation is sensitive to contract type and start date.

★ HERO TIP

Portugal's labour authority (ACT) enforces strict procedural rules for dismissal — even a clearly justified termination can be invalidated on procedural grounds alone (e.g. defective notice, inadequate consultation). Always route Portuguese terminations through your HeroForce EOR and confirm the current severance formula, since thresholds are periodically revised.

Public Holidays 2026

Portugal observes 13 national public holidays in 2026.

Date	Holiday	Type
1 January	New Year's Day	National
3 April	Good Friday	National
5 April	Easter Sunday	National
25 April	Freedom Day (Dia da Liberdade)	National
1 May	Labour Day	National
4 June	Corpus Christi	National
10 June	Portugal Day	National
15 August	Assumption Day	National
5 October	Republic Day	National
1 November	All Saints' Day	National
1 December	Restoration of Independence	National
8 December	Immaculate Conception	National
25 December	Christmas Day	National

Madeira and the Azores observe additional regional holidays on top of the national list.

Ready to hire in Portugal?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Portugal employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).